

Dr. Florian Hense

Union Investment Group
Weißfrauenstraße 7
60311 Frankfurt am Main
Germany

Proposal for a Quantitative Fixed Income Asset Allocation Model

Dear Dr. Hense,

Thank you very much for the opportunity to work on this case and for the constructive and insightful discussions throughout our sessions. Your guidance on Union Investment's investment philosophy, governance expectations, and practical constraints was invaluable in shaping our solution.

Over recent years, fixed income markets have been characterized by persistent inflationary pressures, greater policy intervention, supply-chain fragilities, and heightened geopolitical uncertainty. These developments have structurally changed rate dynamics and increased the frequency of abrupt regime shifts. As a result, traditional static allocation approaches such as 60/40-style frameworks are no longer sufficient, reinforcing the need for an allocation process that adapts systematically to different macro-geopolitical environments.

Our proposal responds directly to this challenge. We present a transparent, regime-aware allocation framework that adjusts exposures across duration, credit, inflation protection, and safe-haven assets according to clearly defined states. The design remains intuitive for portfolio managers, aligns with Union Investment's disciplined risk philosophy, and is robust under market stress. Ultimately, the framework aims to strengthen downside protection, enhance resilience, and support more stable risk-adjusted outcomes across regimes.

The attached proposal summarizes our empirical findings, the modelling approach, and a practical path toward implementation. We would welcome the opportunity to walk you through the key insights or discuss any element of the framework in greater depth at your convenience.

Thank you once again for the highly engaging collaboration. We hope our work provides meaningful value to Union Investment and reflects the high standards we set for ourselves throughout this project.

Warm Regards,
Group 29